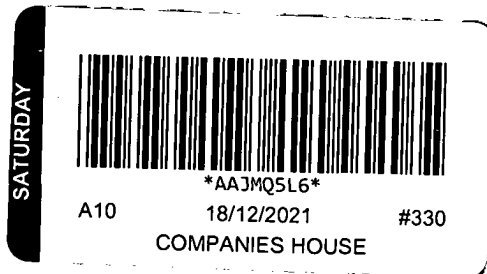


Axxsys Limited

Annual report and financial statements

Registered number 04967647

31 March 2021



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Company Information

Directors	AJS Cheema AP Ritchie ENB Fraser JC Paton N Fienberg S McDermott S McNulty
Company number	04967647
Registered office	New Broad Street House 35 New Broad Street London EC2M 1NH
Auditor	KPMG LLP St Nicholas House 31 Park Row Nottingham NG1 6FQ
Banker	Lloyds Bank Plc 10 Gresham Street London EC2V 7AE

Strategic report

Business review

For the year ended 31 March 2021 (FY 21¹), the Company recorded a turnover of £4,145,000 (FY 20: £6,512,000), with the reduction reflecting a long period of account in the comparative period due to the acquisition of the Company by the Group. Gross profit margin improved significantly to 33.9% (FY 20: 26.4%) due to improved utilisation compared to FY 20. Profit after tax increased 29.0% to £658,000 (FY 20: £510,000). Improved profitability is driven by this utilisation improvement and a significant reduction in discretionary expenditure, staff entertainment costs and employee travel, as a result of the prevalence of the COVID-19 pandemic throughout the financial year, offset by an increased level of Group² recharges. Trade receivables reduced significantly to £328,000 compared to £759,000 in FY 20, due to strong cash collection in the period. There are no concerns about the recoverability of the main unprovided debtors.

Future developments

The Directors are cognisant of the impact of the COVID-19 pandemic. The business plan developed by the Directors shows growth is expected to continue in the forthcoming year, and the Directors are pleased with the level of on-going work, expansion opportunities and prospects at the start of the subsequent financial year.

Key performance indicators

The Directors monitor performance on both a weekly and a monthly basis using a range of financial and non-financial metrics. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cashflow, liquidity and the recovery of trade receivables.

Each month the Directors review the management accounts for each Group undertaking and compare actual performance against budget. Costs and utilisation are also reviewed to monitor profitability.

Principal risks and uncertainties

The performance of the Company is subject to only limited risk in the short and medium term as the future pipeline of work is good. The Company continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth. Management continue to operate conservative cash management policies.

Risk Management and the year ahead

The Directors are pleased with trading in a year of huge challenge and uncertainty with the ongoing impacts of the COVID-19 pandemic. The Directors took pre-emptive actions in the first half of the year to preserve financial flexibility, including temporary salary sacrifices made by the wider Director team and the deferral of employee profit share payments. However, the Company's financial performance strengthened throughout the year and all precautionary final measures in response to COVID-19 were withdrawn and reversed.

The Company enjoyed good trading through the second half of the year and that has continued into the early part of the new financial year, along with a good pipeline of new business opportunities under discussion. The Directors therefore look to the future with confidence.

By order of the Board.



John C Faxon

Director

13 December 2021

¹FY 21 is the financial year covering the 12 months to 31 March 2021. By comparison, FY 20 is the previous period covering the 15 months to 31 March 2020; FY 22 is the subsequent financial year covering the 12 months to 31 March 2022.

²Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2021.

Principal activities

The principal activity of the Company continued to be the provision of specialist consultancy services, including Simcorp-related implementation and advisory support, to the asset management industry.

Results and dividend

The results for the year are set out in the attached profit and loss account.

For further information on the likely future developments of the business, please refer to the Strategic report.

After deducting taxation, a £658,000 profit was transferred to reserves (FY 20: £510,000).

Directors

The Directors who held office during the year were as follows:

AJS Cheema
AP Ritchie
ENB Fraser
JC Paton
N Fienberg
S McDermott
S McNulty

Political contributions

The Company made no political donations or incurred any political expenditure during the year.

Employee involvement

The health and welfare of the Company's employees remains a key priority for the Directors, as reflected by the Group's position on the 'Sunday Times 100 Best small companies to work for' 2017-2020, and in the 'UK's 100 Best Large Companies to Work for' in 2021. The Company has the intent to attract, recruit, develop and retain key employees, and the Company maintains policies and procedures on the Group intranet, with access to this documentation provided to employees via the Company's Human Resources department. Appropriate education and training and development opportunities are provided to all employees to encourage continuous development, and employees are kept abreast of key financial and economic updates on the Company's performance and other matters on a regular basis, and in monthly meetings hosted by senior management, where employees have an opportunity to raise questions or provide feedback.

It is the Company's policy to give full and fair consideration to all applications for employment including from disabled people, having regard to their abilities and aptitudes. Full consideration is given to continuing the employment of staff who become disabled, including considering them for other reasonable positions and arranging appropriate training where required. The Company aims to provide an inclusive environment for all employees, regardless of sex, marital status, race, nationality, age, sexual orientation or religion.

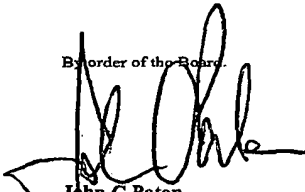
Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

By order of the Board



John C Paton
Director

18 December 2021

Statement of Directors' responsibilities in respect of the strategic report and the directors' report and the financial statements

The Directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under Company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Independent auditor's report to the members of Axxsys Limited

Qualified opinion

We have audited the financial statements of Axxsys Limited ("the Company") for the year ended 31 March 2021 which comprise the profit and loss account, balance sheet, statement of changes in equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements give a true and fair view of the state of the Company's affairs as at 31 March 2021.

In our opinion, except for the possible effects solely on the comparative information for the fifteen month period ended 31 March 2020 of the matter described in the Basis for qualified opinion section of our report, the financial statements:

- give a true and fair view of the Company's profit for the year ended 31 March 2021;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 Reduced Disclosure Framework; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for qualified opinion

The audit evidence available to us was limited because adequate accounting records have not been retained by the Company for the period prior to the Company's acquisition by Alpha Financial Markets Consulting Plc in June 2019. Consequently, we were unable to obtain sufficient appropriate audit evidence regarding the Company's profit for the fifteen month period ended 31 March 2020. We qualified our audit opinion on the financial statements for the fifteen month period ended 31 March 2020 with regard to this same limitation.

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our qualified opinion.

Going concern

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the Directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the Directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- enquiring of Directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud;
- reading Board minutes; and
- using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries.

We did not identify any additional fraud risks.

We performed procedures including:

- identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- identifying revenue transactions to test based on unusual pairings with a credit or debit to revenue.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the Directors and other management (as required by auditing standards), and discussed with the Directors and other management the policies and procedures regarding compliance with laws and regulations.

Independent auditor's report to the members of Axxsys Limited (continued)

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the Directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and Directors' report

The Directors are responsible for the strategic report and the Directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the Directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the Directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

In respect solely of the limitation on our work relating to the comparative information for the fifteen month period ended 31 March 2020, described above:

- we have not obtained all the information and explanations that we considered necessary for the purpose of our audit;
- in our opinion, adequate accounting records had not been kept for that period; and
- we were unable to determine whether the financial statements were in agreement with the accounting records and returns.

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- returns adequate for our audit have not been received from branches not visited by us; or
- certain disclosures of Directors' remuneration specified by law are not made.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the Directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

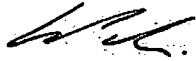
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

Independent auditor's report to the members of Axxsys Limited (*continued*)

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
31 Park Row
Nottingham
NG1 6FQ

13 December 2021

Profit & loss account
for the year ended 31 March 2021

	Note	12 months to 31 March 2021 £000	15 months to 31 March 2020 £000
Turnover	2	4,145	6,512
Rechargeable expenses	2	-	(23)
Net fee income	2	4,145	6,489
Cost of sales		(2,740)	(4,768)
Gross profit		1,405	1,721
Administrative expenses	3, 4, 5	(750)	(1,078)
Operating profit		655	643
Other interest receivable and similar income	6	-	1
Profit before taxation		655	644
Taxation credit / (expense)	7	3	(134)
Profit for the financial year		658	510

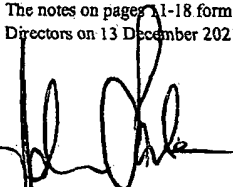
In both the current and preceding year, the Company made no material acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

Balance sheet
As at 31 March 2021

	Note	As at 31 March 2021 £000	As at 31 March 2020 £000
Non-current assets			
Tangible fixed assets	8	30	25
		<u>30</u>	<u>25</u>
Current assets			
Debtors	9	2,470	2,091
Cash at bank and in hand		681	526
		<u>3,151</u>	<u>2,617</u>
Current liabilities			
Creditors: amounts falling due within one year	10	(870)	(856)
Deferred tax	11	(5)	(5)
Corporation tax		-	(133)
		<u>(875)</u>	<u>(994)</u>
Net current assets		<u>2,276</u>	<u>1,623</u>
Total assets less current liabilities		<u>2,306</u>	<u>1,648</u>
Net assets		<u>2,306</u>	<u>1,648</u>
Capital and reserves			
Called up share capital	12	-	-
Share premium account		-	-
Capital redemption reserve		-	-
Profit and loss account		2,306	1,648
Shareholders' funds		<u>2,306</u>	<u>1,648</u>

The notes on pages 11-18 form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 13 December 2021. They were signed on its behalf by:


John C Paton
Director

Company registered number: 04967647

Statement of changes in equity

	Called up share capital £000	Share premium account £000	Capital redemption reserve £000	Profit and loss account £000	Total shareholders' funds £000
As at 1 January 2019	-	1,600	-	(462)	1,138
Total comprehensive income for the period					
Profit for the period	-	-	-	510	510
Transactions with owners					
Capital reduction	-	(1,600)	-	1,600	-
As at 31 March 2020	-	-	-	1,648	1,648
Total comprehensive income for the period					
Profit for the period	-	-	-	658	658
As at 31 March 2021	-	-	-	2,306	2,306

Notes

(forming part of the financial statements)

1 Accounting policies

Axxsys Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 04967647 and the registered address is New Broad Street House, 35 New Broad Street, London, United Kingdom, EC2M 1NH.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken. Further, in accordance with Section 414A(2) of the Companies Act 2006, the Company has taken the small company exemption from the requirement to prepare a strategic report.

The Company's parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- a cash flow statement and related notes;
- comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- disclosures in respect of transactions with wholly owned subsidiaries;
- disclosures in respect of capital management;
- the effects of new but not yet effective IFRSs;
- disclosures in respect of the compensation of Key Management Personnel; and
- disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share Based Payments in respect of Group settled share based payments; and
- certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

There are no judgements made by the Directors, in the application of these accounting policies that have significant effect on the financial statements and estimates with a significant risk of material adjustment in the next year.

1.1 Comparative information

As a result of the acquisition of Axxsys Limited by the Group in the comparative period, the Directors effected a change in the accounting reference date of the Company in FY 20 in order to align with the accounting reference date of the wider Group.

As a result, the comparative period consists of the 15 month period from 1 January 2019 to 31 March 2020 in order to effect this change. Therefore, the comparative results presented within this set of financial statements do not represent an entirely comparable set of results.

1.2 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.3 Going concern

The financial statements have been prepared on a going concern basis which the Directors consider to be appropriate for the following reasons:

- (a) The Directors have prepared cash flow forecasts for a period of at least 12 months from the date of approval of these financial statements which indicate that, taking account of reasonably possible downsides, the Company will have sufficient funds to meet its liabilities as they fall due for that period.
- (b) The Directors are confident that the Company will have sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements.

The Company's forecasts and projections show that the Company has sufficient financial resources, both from the Company's robust balance sheet and its expected cash flow generation, sufficient for the going concern period. The Company also has access to additional funding through other Group entities, via the Group's revolving credit facility and the strength of the Group's cash position at 31 March 2021. Accordingly, the Directors have adopted the going concern basis in preparing these financial statements.

Notes (continued)

1 Accounting policies (continued)

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents, preference shares, loan notes and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Trade and other debtors

Trade and other debtors are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade debtors is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade debtors' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade debtors have been grouped based on shared credit characteristics and the days past due. The Company consider historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include historical collection experience for each customer, the assessed liquidity of key customers within the debtors balance, and other relevant macro-economic factors such as COVID-19 and Brexit in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies all intercompany receivables that form a part of the normal trading cycle of the Company as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2021, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Trade and other creditors

Trade and other payables are initially recognised at fair value and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

Amounts owed to Group undertakings

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Leases

Lease liabilities are recognised on the balance sheet at the present value of minimum lease payments. All leases held by the Company in both the current and the prior year fall under the permitted practical expedients and therefore are outside of the scope of IFRS 16.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

Investments in subsidiaries

Investments in subsidiaries are stated at cost less any provision for impairment. The Company monitor for indicators of impairment at each reporting period, and a full impairment assessment is performed on an annual basis.

The Directors have deemed that no impairment was required in both the current and prior years.

Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method, less any impairment losses.

1.6 Tangible fixed assets

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3-6 years straight line
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Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

1.7 Impairment (non-financial assets)

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Right-of-use assets relating to the Company's leasing activities are recognised on the balance sheet at an amount equal to the lease liability on initial measurement, less any lease incentives, plus any initial direct costs. Right-of-use assets are depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. For further information refer to the "Leases" section above.

1.8 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

Notes (continued)

1 Accounting policies (continued)

1.9 Provisions

A provision is recognised in the balance sheet when the Company has a present legal or constructive obligation as a result of a past event, that can be reliably measured and it is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects risks specific to the liability.

1.10 Revenue recognition

Recognition of revenue and client billing

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income represents the Company's personnel, subcontractor and related expertise and services sold to clients. Recharged expenses is the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company.

The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work. The significant majority of Alpha's revenue is contracted on a time and materials basis, where the performance obligation is to provide consultancy resources at agreed day rates. In such contracts, revenue is recognised over time, as the number of consultant days worked are delivered. Modifications or extensions to such projects are recognised as delivered. Significant extensions, where the scope or price of the contract increases, are treated as separate contracts. Contracts accounted for on a time and materials basis are billed incrementally, typically monthly, for incurred time and materials.

Revenue recognition for fixed fee projects is based on the actual service provided to the end of the reporting period as a proportion of total services to be provided either over time or in line with internally or externally identified project milestones, depending on the nature of the performance obligations for the project. Material scope changes are managed via a new agreement with the client. Fixed fee projects are typically billed in accordance with the nature of the performance obligations when a right to payment crystallises.

For fixed fee milestone projects, revenue is recognised at a point in time upon delivery of each performance obligation and these projects are billed as contractual milestones are delivered and the right to payment exists.

Revenue is wholly attributable to the principal activities of the Group. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

Recognition of contract receivables

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables.

Recognition of contract liabilities

Where amounts have been invoiced in excess of work performed and recognised, the excess is a contract liability and is included within deferred income and valued in line with the nature of the project and related performance obligations as described above and recognised in future periods.

1.11 Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Group's revenue, including staff payroll and contractor costs, subsistence and travel that are directly attributable to the delivery of services and supporting growth.

1.12 Expenses

Interest receivable and interest payable

Interest payable and similar expenses include interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method.

Dividend expense

Dividend expenses are recognised in the profit and loss account on the date the entity's right to pay the dividend is established.

1.14 Taxation

Taxation expense on the result for the period comprises current and deferred tax. Current and deferred tax is recognised in the consolidated statement of comprehensive income, except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable or receivable on the taxable income for the period, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Notes (continued)

1 Accounting policies (continued)

1.15 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2021. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 9 Financial Instruments with IFRS 4 Insurance Contracts (Amendments to IFRS 4);
- Amendments to References to the Conceptual Framework in IFRS Standards;
- Definition of a Business (Amendments to IFRS 3);
- Definition of material (Amendments to IAS 1 and IAS 8); and
- Interest Rate Benchmark Reform (Amendments to IFRS 9, IAS 39 and IFRS 7).

The following amendments to existing standards have been issued and became effective in the year as a response to the COVID-19 pandemic:

- Covid-19-Related Rent Concessions (Amendment to IFRS 16), effective from 1 June 2020 and endorsed by the UK on 9 October 2020.

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2021.

2 Turnover

	FY 21 £000	FY 20 £000
Rendering of services	4,145	6,489
Rechargeable expenses	-	23
	<u>4,145</u>	<u>6,512</u>
	FY 21 £000	FY 20 £000
<i>By activity</i>		
Management consulting	<u>4,145</u>	<u>6,512</u>

3 Auditor's remuneration

	FY 21 £000	FY 20 £000
Audit of these financial statements	<u>44</u>	<u>50</u>

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting Plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors) during the year, analysed by category, was as follows:

	Number of employees	
	FY 21	FY 20
Administrative	3	4
Sales	13	12
	<u>16</u>	<u>16</u>

The aggregate payroll costs of these persons were as follows:

	FY 21 £000	FY 20 £000
Wages and salaries	1,812	2,343
Social security costs	216	281
Contributions to defined contribution plans	<u>47</u>	<u>61</u>
	<u>2,075</u>	<u>2,685</u>

Notes (continued)

5 Directors' remuneration

	FY 21 £000	FY 20 £000
Directors' remuneration	727	872
Company contributions to money purchase pension plan	-	-
	<u> </u>	<u> </u>
	Number of Directors	
	FY 21	FY 20
Retirement benefits are accruing to the following number of Directors under:		
Money purchase schemes	-	-
	<u> </u>	<u> </u>

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid Director was £331,000 (FY 20: £290,000)

Amounts paid or payable to the Company's Directors through the Company's parent undertakings have been excluded from the above disclosure and included within the disclosures of other Group companies, on the basis that their services are predominantly provided to the wider Group.

6 Finance income & expenses

	FY 21 £000	FY 20 £000
Interest receivable	-	1
	<u> </u>	<u> </u>

7 Taxation

Recognised in the profit and loss account

	FY 21 £000	FY 21 £000	FY 20 £000	FY 20 £000
<i>Current tax</i>				
Current tax on income for the period		-		129
Adjustments in respect of prior periods		(3)		-
		<u> </u>		<u> </u>
Total current tax		(3)		129
<i>Deferred tax (see note 11)</i>				
Origination and reversal of timing differences	-		5	
Effect of tax rate change on opening balances	-		-	
Adjustments in respect of prior periods	-		-	
		<u> </u>		<u> </u>
		-		5
		<u> </u>		<u> </u>
		(3)		134
		<u> </u>		<u> </u>

Reconciliation of effective tax rate

	FY 21 £000	FY 20 £000
Profit for the year	658	510
Total tax expense / (credit)	(3)	134
	<u> </u>	<u> </u>
Profit excluding taxation	655	644
Tax using the UK corporation tax rate of 19% (FY 20: 19%)	125	122
Reduction in tax rate on deferred tax balances	-	4
Non-deductible expenses	1	8
Group relief surrendered	(126)	-
Under / (over) provided in prior years	(3)	-
	<u> </u>	<u> </u>
Total tax expense / (credit)	(3)	134
	<u> </u>	<u> </u>

The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2020/21 and 2021/22 tax years. An increase in the UK corporation rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. This change will increase the Company's future tax charge accordingly, but is expected to have an immaterial impact on the Company's future profits.

Notes (continued)

8 Tangible fixed assets

	Computer equipment £000	Total £000
Cost		
Balance at 1 April 2020	84	84
Acquisitions	14	14
Disposals	-	-
	<u>98</u>	<u>98</u>
Depreciation and impairment		
Balance at 1 April 2020	(59)	(59)
Depreciation charge for the year	(9)	(9)
Disposals	-	-
	<u>(68)</u>	<u>(68)</u>
Net book value		
At 31 March 2021	<u>30</u>	<u>30</u>
At 1 April 2020	25	25

9 Debtors

	FY 21 £000	FY 20 £000
Trade debtors	328	759
Amounts owed by Group undertakings	2,075	1,242
Other debtors	3	10
Prepayments and accrued income	64	80
	<u>2,470</u>	<u>2,091</u>

Amounts owed by Group undertakings are interest free and are repayable on demand.

Trade debtors are stated after an immaterial provision for impairment in both the current and prior years.

10 Creditors: amounts falling due within one year

	FY 21 £000	FY 20 £000
Trade creditors	48	280
Amounts owed to Group undertakings	179	114
Other creditors	-	165
Taxation and social security	444	107
Accruals and deferred income	199	190
	<u>870</u>	<u>856</u>

Amounts owed to Group undertakings are either interest-bearing or non interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date all of these balances are non interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on short-term timing differences between performance obligations in some milestone or fixed fee contracts and their respective contracted payment schedules. The contract liability movement in the year represents these timing differences across contracts at each year end. As at 31 March 2021 there is an immaterial level of deferred income held on the Company's balance sheet, in addition movements in contract liabilities in the year were immaterial. All current deferred income is expected to be recognised through revenue within one year.

Notes (continued)

11 Deferred tax assets and liabilities

Recognised deferred tax assets and liabilities

Deferred tax assets and liabilities are attributable to the following:

	Assets		Liabilities		Net	
	FY 21	FY 20	FY 21	FY 20	FY 21	FY 20
	£000	£000	£000	£000	£000	£000
Tangible fixed assets	-	-	6	5	6	5
Other	(1)	-	-	-	(1)	-
Net tax (assets)/liabilities	(1)	-	6	5	5	5

In addition to the deferred tax asset above, the Company has no unrecognised gross tax losses (FY 20: £nil). The UK corporation tax rate legislation announced is set to hold the corporation tax rate at 19% for the 2020/21 & 2021/22 tax years. This rate has been reflected in the calculation of deferred tax for the year ended 31 March 2021.

An increase in the UK corporation rate from 19% to 25% (effective 1 April 2023) was substantively enacted on 24 May 2021. This change will increase the Company's future tax rate accordingly.

12 Capital and reserves

Share capital

	FY 21	FY 20
	£	£
<i>Allotted, called up and fully paid</i>		
427,000 ordinary shares of £0.0001 each	43	43
	43	43
Shares classified in shareholders' funds	43	43
	43	43

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

13 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any material transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

14 Ultimate parent Company and parent Company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Group Ltd, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc. On 25 February 2021, ownership of 100% of the share capital of the Company was transferred to Alpha Financial Markets Consulting Group Ltd from Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alpha-fmc.com.